

Contract Practice and Administration Part 2

MRICS & AIQS APC Coaching Programme

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Legislation (Law of the Land)



The law of a country plays a crucial role in conditions of contracts because it provides the **legal framework** within which the contract operates

	UAE	Oman	KSA	Qatar	Bahrain
					
Sources of Law	- The Constitution - Federal laws and regulations (7 emirate) - Local Emirate laws and regulations - Islamic Shari'ah law - Custom and practice	- Islamic Shari'ah law - Royal Decrees - Private International Law as applied to the Commercial and Financial Transactions.	- Islamic Shari'ah law - The Basic Law of KSA - Royal Decrees - Islamic Courts - Custom and practice	- Islamic Shari'ah law - Custom practices - Rules of justice	- Islamic Shari'ah law - Civil law - Custom and Practices
Court Structure	- Court of first instance - Court of appeal - Court of Cassation (Dubai / RAK) / Federal Supreme Court, Abu Dhabi) [has jurisdiction over all Emirates other than Dubai and RAK]	- First Instance Courts - Appellate Courts - Supreme Courts	- First instance courts - Courts of Appeals - Supreme Judicial Council	- Preliminary Court - Court of Appeal - Court of Cassation	- The Court of Cassation. - The High Court of Appeal. - The High Court. - The Lower Court. - The Court of Urgent Matters. - The Court of Execution.

General Provisions vs Mandatory Provisions

The Parties cannot agree to vary mandatory provisions

Example :

- The parties are restricted from incorporating provisions in the contract that grant exclusive termination rights to one party (contrary to mandatory legal requirements).
- However, the parties have the flexibility to agree on restricting the Defects Liability Period (DLP) to one year, even though the law states a default DLP of three years, unless otherwise agreed by the parties.
- **Article 31 (Mandatory Provisions)**
A mandatory provision (of law) shall take precedence over contractual stipulation
- **Article 218 (Termination of Contracts)**
A contract shall not binding on one or both of the contracting parties despite its validity and effectiveness if there is a condition that such party may cancel it without mutual consent or another of the court.
- **Article 296 (Liability for Harmful Acts / Breach of Contract)**
Any condition purporting to provide exemption from liability for a harmful act shall be void
- **Article 882 (Decennial liability)**
Any agreement the purport of which is to exempt the contractor or the architect from liability (decennial) or to limit such liability, shall be void.

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Letter of Intent (LOI)

LOI – Letter of Intent (general principle)

Expression of a party's **interest** to enter into a contract in a **future date**

- Does not form any contractual relationship
- Liabilities are limited
- One sided assurance to form a contract.
- However, based on the provisions provided in the LOI, it may constitute a LOA.
- If works executed under LOI, **quantum merit** principle shall apply
- **Instances of using LOI** – any delay in finalizing the LOA/Contract, to engage the contractor for authority approvals, resource planning and the like.

Types of LOI – Generally 3

- **Letter of comfort** – States a party's intention for future actions but doesn't create a binding contract.
- **Instructions to proceed with consent to spend** – It enables work to start up to a **specified value** while the contract is still being finalized
- **Letters recognizing the existence of a binding contract(s)** – is used to formally finalize the contract after substantial agreement, marking the end of negotiations.

Assessing the works executed based on LOI

Quantum Merit – as much as he has earned /as much as one deserve for performing the work / payment of fair & reasonable amount.

Article 888/889 (Quantum Merit) – If the price for the work is not specified in the contract a fair remuneration together with value of materials provided should be given

Unjust enrichment – One party is enriched at the expense of the other.

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Letter of Acceptance / Award

LOA – Letter of Acceptance / Award

1. Expression of the formal acceptance of the offeree (Employer) to the Offeror's (Contractor) offer.
2. Binding Contract between the parties.
3. If the contract finalization will be delayed the LOA should have necessary terms & conditions administrate the contract until such time.

Consequence of LOA

- Commencement date to be advised.
- Performance Bond /Advance payment Bonds to be submitted within the given duration (if required)
- Programme & Method Statements to be submitted within the given duration
- Cash flow estimate
- Breakdown of lumpsum items
- Release of Advance payments (subject to receipt of Advance payment bond/guarantee)
- Evidence of insurance to be submitted.

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Standard Forms of Contract

Various FIDIC Versions

- **Civil Engineering works** – FIDIC Red book 1987
- **Electro Mechanical Works** – FIDIC Yellow book 1987
- **Design Build & Turnkey** – FIDIC Orange book 1995
- **Works design by the Employer** – FIDIC Redbook 1999 / 2017
- **Short form of Contract** – Green Book 1999
- **Plant Design & Build** – Yellow Book 1999 / 2017
- **EPC Turnkey** – Silver Book 1999 / 2017
- **Consultancy** – White Book 1999
- **MDB (Multilateral Development Banks)** – FIDIC 1999 Harmonised Edition – Pink Book
- **Dredging and Reclamation Works** – Blue Book 2006 / 2016
- **Underground Works** – Emerald Book. 2019 (new)



Various JCT Versions

- Standard Building Contract
- Intermediate Building Contract
- Minor Works Building Contract
- Major Project Construction Contract
- Design & Build Contract
- Management Building Contract
- Construction Management Contract
- Constructing Excellence Contract



Various NEC Contracts

- NEC 3/ NEC 4 Engineering and Construction Contract
- NEC 3/ NEC 4 Engineering and Construction Short Contract



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Standard Forms of Contract

Advantages of using standard forms of Contracts

- Balanced risk allocation (However FIDIC 1999 favours more to the Employer)
- Parties to the contract will be well aware of their risks, rights and obligations.
- Time tested and have drafted with involvement of multiple professionals.
- Disputes are likely to be less, even if dispute resolution mechanism is available in the contract,
- Legal fees can be avoided. However, amending standard CoC without involving legal professional may lead into disputes;

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Key differences FIDIC 1987 vs 1999 vs 2017

Key differences between FIDIC 1987 vs 1999

- The Engineer acts on behalf of the Employer
- The Dispute Adjudication Board is introduced.
- A Termination for Convenience clause exists.
- A Value Engineering Clause allows value engineering proposals.
- Rates can be revised if quantities exceed initial estimates by more than 10%.
- Taking-Over Certificates (TOCs) must be issued within 28 days.
- Cost fluctuations are calculated based on price indices.
- There's a difference in the priority of documents.

Key differences between FIDIC 1999 vs 2017

- The definition of "Claim" includes requests for relief under the contract.
- "No-objection" is introduced and defined.
- More requirements for submitting Notices.
- Parties can issue a Notice of Dissatisfaction with an Engineer's determination.
- Advance warning provisions are introduced.
- Evaluating and agreeing Variations are more prescriptive.
- Employer's Risks and Force Majeure events are consolidated into Exceptional Events.
- Employer's and Contractor's Claims are now covered under Clause 20.
- Dispute resolution is separated into a new Clause 21.
- Claim submission period is extended to 84 days, with submission as a condition precedent.
- Engineer's response to a claim is deemed after 42 days.
- DAB is now referred to as the DAAB.

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Privity of Contract.

- a common law principle,
- states that only the parties involved in a contract have the right to enforce its terms or seek damages for any breaches.
- In some countries such as in KSA and Qatar, this principle may not apply.

Mechanism to overcome the Privity of Contract

- Assignment
 - Collateral Warranties
- Novation

Assignment

Transfers the **benefit (right)** of a contract from one party to another, but only the benefit, not the burden.

Example:- Right for payment, right to take legal actions, assignment of collateral warranties.

Collateral Warranty - i.e. Providing certain rights to a third party (Employer, Contractor, tenant, end users)

They provide for a duty of care to be extended by **one of the contracting parties** to a **third party** who is not party to the original contract.

Novation

Transfers ('Novates') both the **benefit and the burden** of a contract from one party of the original contract to a new party, where the original party replaces with a new party. A novation creates a new contractual relationship - a 'new' contract is entered into.

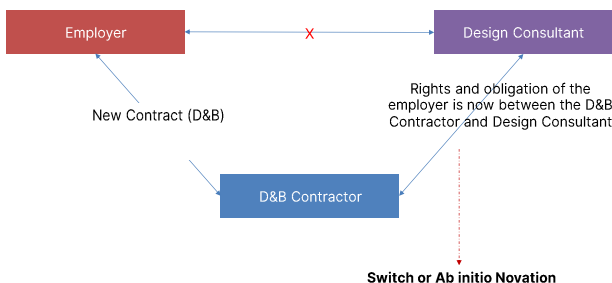
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Novation Ab initio / Switch

Before Novation



After Novation



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Novation

Novation - Two types

- **Ab initio Novation** - An ab initio novation agreement, under which the new party who replaced the old party assumes all historic rights and liabilities.

Example :- The consultant becomes liable to the contractor for design services it carried out for the employer prior to the novation. The contractor becomes liable to the employer for all the design of the works (both pre and post novation).

- **Switch Novation** - An switch novation agreement, under which the new party who replaced the old party assumes rights and liabilities from the point in time of the novation.

Example :- the consultant is responsible to the employer for pre-novation design services and the contractor is responsible for post novation design services.

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Performance Bond / Security / Guarantee

- Provided / Issued by a bank / financial institution for an amount stated in the contract (generally 10% of the contract sum)
- Also verify should the issuing bank/institution is locally available and reputed (Some contracts state this requirement expressly)
- Purpose – in the event of the Contractor breaches the obligations under the contract, Employer can en-cash the bond to recover his losses. (performance breach)
- Mandatory – wordings must be unconditional and on demand (the Employer do not need to prove the Contractor's default). Approved wording (template) as per the specimen form in the contract
- If not submitted – the Contractor is not entitled to any payment nor cannot carry out any works. The Employer has the right to terminate the Contractor.

[Refer study materials for specimen](#)

Demand letter (Client to the bank)

To : XYZ Bank,

Dear Sirs

Performance Guarantee dated 20/01/2024 issued by XYZ Bank in favour of [ABC Holdings LLC] (the "Guarantee")

We hereby demand the amount of **\$ 5,400,000** under the Guarantee.

Payment of this demand shall be made to the account of **ABC Holding LLC at City Centre Brach**, short code 0011, designated account number **12345 6789 in the name of ABC Holding LLC**

Yours faithfully
for and on behalf of **ABC Holdings LLC**

Employer does not need to prove the entitlement to encash the performance bond, if it is unconditional and on demand

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Alternatives to Performance Security/bond/Guarantee

Standby Letter of Credit –

the issuer's obligation depends on the beneficiary (Say "Employer") presenting specific documents, and it is not tied to the default itself (may not be unconditional and on demand). Commonly used by companies with limited funds or entities with uncertain credit.

Parent Company Guarantee –

For contractors who are part of a larger corporation, a parent company guarantee can be used. This is a pledge from the parent company to complete the project per the contract if the subsidiary cannot.

Additional cash retention (not recommended, but used in the industry) -

An additional retention, over and above the standard retention is withheld by the Client/Employer in lieu of a performance bond.

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End of Part 2



Thank YOU

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